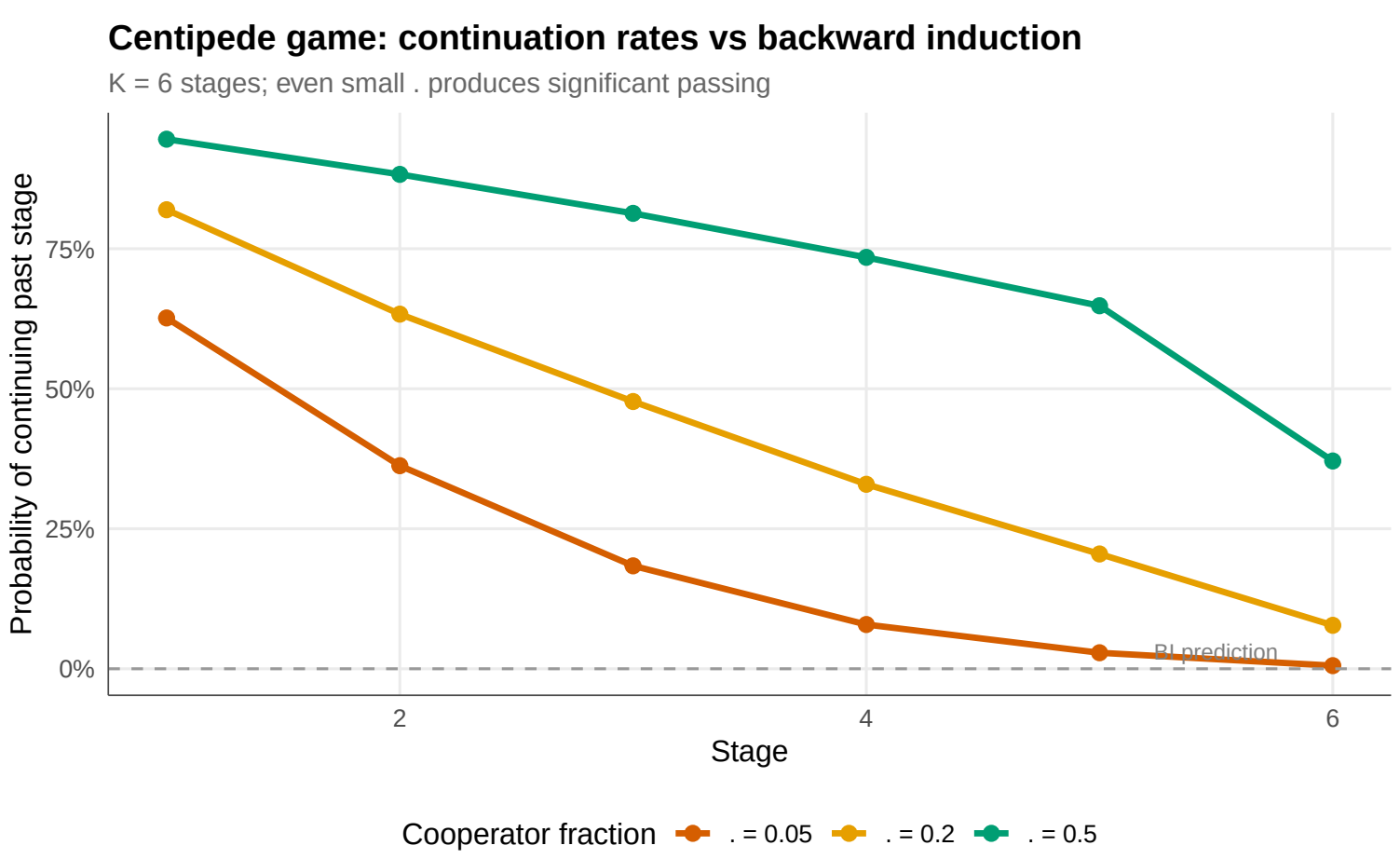
Centipede game: continuation rates vs backward induction
K = 6 stages; even small . produces significant passing
Probability of continuing past stage
75%
50%
25%
0%
BI prediction
2
4
6
Stage
Cooperator fraction
. = 0.05
. = 0.2
. = 0.5